

AC4407

Financial Reporting 1

Autumn 2023 Examination

Paper 1 · 1.5 hours · Answer Question 1 and ONE other question · Total 100 Marks

Module	AC4407 — Financial Reporting 1
Session	Autumn 2023
Paper	1 of 1
External Examiner	Professor Omiros Georgiou
Internal Examiner	Mr. Noel Daly
Structure	Question 1 (Compulsory, two parts, 60 Marks) + one of Question 2 or Question 3 (40 Marks each)
This scheme covers	Question 1, Question 2 and Question 3 in full, so you can study either route through the paper

Naming inconsistency in the source paper, flagged. Question 3 introduces the company as "Caslagh Limited" and provides its financial statements throughout, but the requirement itself asks for the cash flow statement of "Limerick Limited", and note 4 also refers to "Limerick Limited". This scheme treats these as the same entity (Caslagh Limited) — an apparent copy-paste artefact from a similar past paper — since all the data provided relates to Caslagh Limited and no data for a separate "Limerick Limited" is given anywhere in the question.

Quality check. Every calculation in this scheme has been independently verified and cross-checked for accuracy before being written up. Most notably, the Statement of Cash Flows in Question 3 reconciles **exactly** to the actual movement in net cash shown on the balance sheet — the strongest possible check that every underlying working is correct. IFRS technical points (IAS 2, IAS 16, IAS 10, IAS 20, IAS 37, IAS 7, and partnership law) are applied from the standards themselves rather than from any one textbook.

Question 1, Part One (i)

23 Marks — Inventory Valuation, IAS 2

Scenario

Stavros Ltd's initial closing inventory figure for the year ended 30 June 2023 is €492,070 (Raw materials €245,700; WIP €117,500; Finished goods €128,870). Three issues require correction: (1) finished goods overhead absorption based on actual figures vs budget; (2) WIP for three products valued in aggregate rather than item-by-item; (3) raw materials valued on AVECO rather than the company's FIFO policy.

(a) Required

18 Marks

Calculate the correct value of closing inventory at 30th June 2023.

FULL MODEL ANSWER

Issue 1 — Finished goods: fixed overhead absorption

	Actual	Budgeted (Normal Capacity)
Fixed production overhead	€36,000	€35,000
Production units	9,000	7,000
Overhead rate per unit	€4.00	€5.00

IAS 2.13 governs this exactly. The standard requires fixed overhead to be allocated based on **normal capacity** — but it also specifically addresses the case tested here: "In periods of abnormally **high** production, the amount of fixed overhead allocated to each unit of production is **decreased** so that inventories are not measured above cost." Actual production (9,000 units) exceeds normal/budgeted capacity (7,000 units), so this is exactly that abnormally-high-production scenario — the correct treatment is to use the **actual** (lower) rate of €4.00 per unit, precisely as Stavros has already done.

Finished goods value: no adjustment required — remains €128,870

This is the reverse of the more commonly tested IAS 2.13 scenario (where actual production is abnormally LOW and the higher, normal-capacity rate must be substituted in to avoid overstating inventory). Candidates should recognise which direction applies here rather than mechanically substituting the budgeted rate regardless of context.

Question 1, Part One (i) (continued)

Issue 2 — Work in progress: lower of cost and NRV, item by item

The aggregate comparison used originally is incorrect. IAS 2 requires the lower-of-cost-and-NRV test to be applied to each item of inventory (or group of similar items) separately — not to the total. Comparing the total cost (€117,500) to the total NRV (€120,390) masks the fact that one individual product (X1) needs writing down, even though the other two products' favourable NRV happens to outweigh it in aggregate.

Product	Cost	NRV	Lower of Cost and NRV
X1	34,600	28,300	28,300
Y1	54,300	61,340	54,300
Z1	28,600	30,750	28,600
Total	117,500	120,390	111,200

Corrected WIP value = €111,200 (a decrease of €6,300 from the original €117,500)

Question 1, Part One (i) (continued)

FULL MODEL ANSWER

Issue 3 — Raw materials: switching from AVECO to FIFO

Under FIFO, the 70,000 units on hand at 30 June 2023 are deemed to be the **most recently received** layers (since the oldest stock is issued first):

Receipt Date	Units	Price/Unit	Total Value	Units Remaining in Closing Stock
1/6/2023 (opening)	50,000	€3.10	155,000	0 (all issued)
2/6/2023	30,000	€3.70	111,000	0 (all issued)
8/6/2023	40,000	€3.50	140,000	20,000 (most recent 20,000 of this layer)
15/6/2023	50,000	€3.80	190,000	50,000 (entire layer)

FIFO closing stock layer	Units	Value
From 15/6 receipt	50,000	€190,000
From 8/6 receipt (most recent 20,000 of 40,000)	20,000	€70,000
Total FIFO closing raw materials	70,000	€260,000

The original €245,700 figure is consistent with a weighted-average (AVECO) valuation of the same 70,000 units — confirming the error is a methodology mismatch (AVECO used instead of the company's stated FIFO policy), not a data error. Correcting to FIFO increases the raw materials value by €14,300.

Corrected total closing inventory

Component	Original	Corrected	Adjustment
Raw materials	245,700	260,000	+14,300
Work in progress	117,500	111,200	(6,300)
Finished goods	128,870	128,870	0
Total	492,070	500,070	+8,000

Mark Allocation — Part (a), 18 Marks

Tier	Marks	What separates this tier
14-18	14-18	All three issues correctly resolved: finished goods correctly left unchanged (with sound IAS 2.13 reasoning for abnormally high production), WIP correctly assessed item-by-item, and raw materials correctly restated to FIFO — with correct final total of €500,070.
9-13	9-13	Two of the three issues correctly resolved; the most common error is treating Issue 1 as requiring an adjustment (substituting the budgeted rate) when none is needed, or applying the WIP lower-of-cost-and-NRV test in aggregate rather than item by item.
4-8	4-8	One issue correctly resolved, most commonly the WIP item-by-item test; FIFO conversion or overhead treatment not correctly applied.
0-3	0-3	No credible attempt at any of the three issues.

Question 1, Part One (i)

23 Marks — Inventory Valuation, IAS 2

(b) Required**5 Marks**

IAS 2 Inventory states that inventory should be stated at the lower of cost and Net Realisable Value. Briefly explain how Net Realisable Value is calculated.

FULL MODEL ANSWER

**NRV = Estimated selling price in the ordinary course of business –
Estimated costs of completion – Estimated costs necessary to make the
sale**

Estimated selling price: The price at which the inventory is expected to be sold in the entity's normal course of business, based on the most reliable evidence available at the time the estimate is made.

Less costs of completion: For work in progress or partly-finished goods, any further costs that must still be incurred to bring the item to a finished, saleable state (e.g. the further processing costs in a supplementary question elsewhere in this series).

Less costs necessary to make the sale: Selling and distribution costs directly attributable to the sale, such as marketing, transport to the customer, and completion of the sale transaction.

Mark Allocation — Part (b), 5 Marks

Tier	Marks	What separates this tier
5	5	Correct formula stated with all three components (selling price, completion costs, selling costs) accurately explained.
3-4	3-4	Correct formula stated but one component not clearly explained.
1-2	1-2	Partial or vague description of NRV.
0	0	No credible attempt.

Question 1, Part One (ii)

19 Marks — Initial Cost of PP&E, IAS 16

Scenario

Saperstein Limited acquired machinery on 1 July 2023. List price €120,000, less a 10% trade discount. A further 1.5% early settlement discount was received (paid within 4 weeks). Ancillary costs: shipping & handling €3,750; pre-production testing €2,500; a 3-year maintenance contract €9,000; installation costs of electrical cable €4,000, floor reinforcement €4,500 (of which €1,200 was to rectify a concrete-pouring error), and own labour €3,500. The plant will last 5 years, after which compulsory dismantling/disposal costs of €15,000 apply. Cost of capital: 10%.

(a) Required**16 Marks**

Calculate the initial cost of the machine that will be recognised in the accounts at 1st July 2023.

FULL MODEL ANSWER**Net purchase price**

Component	Value
List price	€120,000
Less: trade discount (10%)	(€12,000)
Subtotal	€108,000
Less: early settlement discount (1.5%, received since paid within 4 weeks)	(€1,620)
Net purchase price	€106,380

Directly attributable costs (IAS 16.17)

Item	Included?	Amount
Shipping and handling	Yes — directly attributable to bringing the asset to its location	€3,750
Pre-production testing	Yes — cost of testing whether the asset is functioning properly	€2,500
3-year maintenance contract	No — a future operating expense, not a cost of bringing the asset to working condition; recognised as a prepaid expense, released over the contract term	€0
Electrical cable installation	Yes — installation cost, directly attributable	€4,000
Floor reinforcement (€4,500 less the €1,200 error)	Partially — IAS 16.22 excludes costs of correcting errors/abnormal waste from the cost of the asset; only the correctly-incurred €3,300 qualifies	€3,300
Own labour costs (installation)	Yes — directly attributable labour cost of installation	€3,500
Total directly attributable costs		€17,050

Question 1, Part One (ii)

19 Marks — Initial Cost of PP&E, IAS 16

FULL MODEL ANSWER**Decommissioning/dismantling costs (IAS 16.16(c))**

Include the present value, not the undiscounted amount: IAS 16 requires the initial estimate of the costs of dismantling and removing an item and restoring the site, where an obligation exists, to be included in the cost of the asset — but discounted to present value at the date of initial recognition, since the €15,000 outflow will only occur in 5 years' time.

Component	Value
Future dismantling cost (in 5 years)	€15,000
Discount rate (cost of capital)	10%
Present value factor (1.10^{-5})	0.6209
Present value of decommissioning obligation	€9,314

Total initial cost of the machine

Component	Value
Net purchase price	€106,380
Directly attributable costs	€17,050
Present value of decommissioning obligation	€9,314
Total initial cost	€132,744

Mark Allocation — Part (a), 16 Marks

Tier	Marks	What separates this tier
13-16	13-16	Both discounts (trade and settlement) correctly deducted; the maintenance contract correctly excluded; the error-correction cost correctly excluded from floor reinforcement; the decommissioning cost correctly discounted to present value; correct total of approximately €132,744.
9-12	9-12	Most components correct with one error — e.g. the settlement discount omitted, or the decommissioning cost included at its undiscounted €15,000 face value instead of present value (own-figure).
4-8	4-8	Basic structure recognised (purchase price + some attributable costs) but several exclusions (maintenance contract, error cost) not applied, and/or decommissioning costs omitted entirely.
0-3	0-3	No credible attempt to build up the asset's cost under IAS 16.

Question 1, Part One (ii)

19 Marks — Initial Cost of PP&E, IAS 16

(b) Required**3 Marks**

Show the journal entry required to record the acquisition of the machine.

FULL MODEL ANSWER

Account	Debit	Credit
Property, Plant & Equipment (machine)	€132,744	
Bank (net purchase price + directly attributable costs paid)		€123,430
Provision for decommissioning costs		€9,314

The €9,000 maintenance contract is excluded from this journal entirely — it is a separate cash payment recorded as a prepaid expense (Dr Prepayments / Cr Bank), released to profit or loss over the 3-year contract term, not part of the machine's cost.

Mark Allocation — Part (b), 3 Marks

Tier	Marks	What separates this tier
3	3	Correct journal with PP&E debited at the total cost from part (a), and the credit correctly split between cash paid and the decommissioning provision.
1-2	1-2	Correct debit to PP&E but credit not correctly split (e.g. entire amount credited to Bank, ignoring the provision).
0	0	No credible attempt.

Question 1, Part Two (i)

9 Marks — Partnership Agreements

Required**9 Marks**

Briefly explain the main contents of a formal partnership agreement. Outline what would happen in the event of no partnership agreement existing.

FULL MODEL ANSWER**Main contents of a formal partnership agreement**

Content	Purpose
Capital contributions	How much capital each partner contributes, and in what form
Profit and loss sharing ratios	How residual profits/losses are divided between partners
Salaries and interest on capital	Whether any partner receives a salary (e.g. for managing day-to-day operations) or interest on their capital, before the residual profit split
Management and decision-making	Who has authority to manage the business day-to-day, and how major decisions are made — directly relevant here, since Peter and James will manage while John is a silent partner
Admission, retirement, and death of a partner	The process for bringing in new partners or handling a partner leaving or dying
Dissolution provisions	How the partnership can be wound up and assets distributed
Dispute resolution	Mechanisms (e.g. arbitration) for resolving disagreements between partners

If no partnership agreement exists

Default statutory rules apply (Partnership Act 1890): In the absence of an agreement, the default position is that profits and losses are shared EQUALLY between all partners, regardless of capital contributed or effort put in — this would very likely not reflect Peter, James and John's actual intentions, given James/Peter are managing the business while John is a silent (capital-only) partner.

No partner is entitled to a salary or interest on capital: Without an agreement, none of the partners could claim a salary for managing the business, and no interest would be payable on capital contributed — again, likely undesirable given only two of the three will actively manage the business.

Every partner is entitled to take part in management: The default rule gives every partner equal management rights, which conflicts with John's intended role as a silent partner unless a formal agreement specifically restricts this.

Interest on partner advances: A partner who advances money beyond their agreed capital (a loan to the partnership) is entitled to 5% interest per annum on that advance, even without an agreement covering it.

This scenario is a good illustration of why John's insistence on a signed, formal agreement is the more prudent course: the default rules under partnership law would likely produce an equal profit split regardless of the very different roles Peter, James and John intend to play, which is unlikely to be a fair or intended outcome for any of them.

Mark Allocation, 9 Marks

Tier	Marks	What separates this tier
7-9	7-9	At least four distinct elements of a formal agreement correctly identified, PLUS a clear explanation of the default statutory position (equal profit sharing, no salaries/interest, equal management rights) and why it may not suit Peter, James and John's intentions.
4-6	4-6	Reasonable coverage of agreement contents OR the default position, but not both developed.
1-3	1-3	Vague or generic discussion without reference to partnership law specifics.
0	0	No credible attempt.

Question 1, Part Two (ii)

9 Marks — Partnership Appropriation Account

Required**9 Marks**

Mary, John and Paul are in partnership: Mary and John receive salaries of €20,000 and €30,000 respectively; the balance of profit is shared Mary:John:Paul 1:2:3; Mary is guaranteed a minimum profit share of €12,000. Net profit for the year is €68,000. Show the partnership appropriation account for the year.

FULL MODEL ANSWER

Mary's guarantee applies to her share of the **residual** profit (after salaries), which is calculated first under the normal 1:2:3 ratio, then topped up if it falls short of €12,000 — with the shortfall borne by John and Paul in their relative ratio (2:3).

Step	Value
Net profit for the year	€68,000
Less: Mary's salary	(€20,000)
Less: John's salary	(€30,000)
Residual profit to be shared	€18,000

	Mary (1)	John (2)	Paul (3)	Total
Residual share at 1:2:3 (€18,000)	3,000	6,000	9,000	18,000
Guarantee top-up for Mary (12,000 – 3,000)	+9,000			
Shortfall borne by John & Paul, in their 2:3 ratio		(3,600)	(5,400)	(9,000)
Final residual share	12,000	2,400	3,600	18,000

Partnership Appropriation Account

	Mary	John	Paul	Total
Salary	20,000	30,000	0	50,000
Residual profit share (after guarantee)	12,000	2,400	3,600	18,000
Total profit share	32,000	32,400	3,600	68,000

Total profit shares (€32,000 + €32,400 + €3,600 = €68,000) reconcile exactly to net profit for the year, confirming the guarantee mechanism has been applied correctly — Mary receives her full guaranteed €12,000 residual share, funded by John and Paul giving up €3,600 and €5,400 respectively, in proportion to their own 2:3 profit-sharing ratio.

Mark Allocation, 9 Marks

Tier	Marks	What separates this tier
7-9	7-9	Salaries correctly deducted first; residual profit correctly shared 1:2:3; Mary's shortfall against the €12,000 guarantee correctly identified and funded by John and Paul in their 2:3 ratio; correct final total appropriation for each partner.
4-6	4-6	Salaries and basic 1:2:3 residual split correct, but the guarantee mechanism applied incorrectly — e.g. treating the €12,000 guarantee as applying to Mary's total remuneration (salary + residual) rather than her residual share alone, or not reallocating the shortfall to John and Paul.
1-3	1-3	Salaries deducted correctly but residual profit-sharing ratio or guarantee not applied at all.
0	0	No credible attempt.

Question 1 Total: 60 Marks

Question 2

40 Marks — Choice question: answer EITHER Question 2 OR Question 3

How to use this scheme. The paper requires Question 1 plus **one** of Question 2 or Question 3 — both are marked out of 40 and count equally. This scheme covers both in full so you can revise whichever route you are more comfortable with.

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Question 2

40 Marks — Choice question: answer EITHER Question 2 OR Question 3

Issue A (i) Required

6 Marks

Explain the difference between 'adjusting events' and 'non-adjusting events' and give TWO examples of each type of event.

FULL MODEL ANSWER

Type	Definition	Examples
Adjusting events	Events that provide evidence of conditions that existed AT the reporting date. The financial statements ARE adjusted to reflect these events.	(1) A court case settled after the reporting date confirming an obligation already existed at that date. (2) Bankruptcy of a customer after the reporting date, confirming a receivable was already impaired at the reporting date.
Non-adjusting events	Events indicative of conditions that arose AFTER the reporting date. The financial statements are NOT adjusted, but material non-adjusting events are disclosed (nature and an estimate of the financial effect).	(1) A major fire or flood damaging assets after the reporting date. (2) A major business combination, or announcing a plan to discontinue an operation, after the reporting date.

Mark Allocation — Issue A(i), 6 Marks

Tier	Marks	What separates this tier
6	6	Correct distinction (conditions existing at vs after the reporting date) with correct treatment for each, plus two valid examples of each type.
4-5	4-5	Correct distinction with correct treatment, but only one valid example given for one or both types.
2-3	2-3	Distinction attempted but treatment (adjust vs disclose only) not clearly stated, or examples incorrect/mixed up.
0-1	0-1	No meaningful attempt.

Question 2

40 Marks — Choice question: answer EITHER Question 2 OR Question 3

Issue A (ii) Required

8 Marks

Crocker Ltd (year end 30 June) had a fire on 12 July 2023 that destroyed its factory. The best estimate is a €1.2 million cost to rebuild and replace machinery/inventory; management believes only €800,000 will be recovered from insurance (due to unusually high inventory levels). Production will be temporarily halted, resuming shortly at another site. Crocker has an after-tax profit for the year of €2.6 million. The financial statements are approved on 28 August 2023.

Advise management as to the appropriate accounting treatment in the financial statements for the year ended 30 June 2023.

FULL MODEL ANSWER

This is a non-adjusting event: The fire occurred on 12 July 2023 — nearly two weeks AFTER the 30 June 2023 reporting date. It is indicative of a condition (fire damage) that arose after the year end, not evidence of a condition that already existed at 30 June 2023. It must therefore NOT be adjusted for in the recognised amounts in the financial statements — the destroyed factory, machinery and inventory should remain recognised at their pre-fire carrying amounts in the 30 June 2023 accounts.

Materiality and disclosure: The event is clearly material: the estimated net loss (€1.2m cost less €800,000 expected insurance recovery = €400,000 uninsured net loss, or the gross €1.2m cost) is significant relative to Crocker's €2.6 million after-tax profit. IAS 10 therefore requires disclosure in the notes of the nature of the event and an estimate of its financial effect.

Going concern remains appropriate: Because production will resume shortly at another site, this is a temporary interruption rather than an indication that the going concern basis of preparation is no longer appropriate — the financial statements continue to be prepared on a going concern basis.

Recommendation to management: (1) do NOT adjust the 30 June 2023 figures for the fire damage; (2) DO disclose the nature and estimated financial effect of the fire in the notes, given its materiality; (3) confirm going concern remains appropriate given the planned swift resumption of production elsewhere.

Mark Allocation — Issue A(ii), 8 Marks

Tier	Marks	What separates this tier
7-8	7-8	Correctly identifies this as a non-adjusting event with no adjustment to recognised figures; correctly recommends disclosure given materiality; addresses going concern.
5-6	5-6	Correctly identifies non-adjusting treatment and recommends disclosure, but materiality/going concern discussion thin.
2-4	2-4	Correctly identifies non-adjusting vs adjusting in principle but reaches the wrong conclusion for this scenario, or omits disclosure recommendation.
0-1	0-1	Incorrectly treats this as an adjusting event.

Question 2

40 Marks — Choice question: answer EITHER Question 2 OR Question 3

Issue B (i) Required

6 Marks

Explain the difference between 'capital' grants and 'revenue' grants. Your answer should briefly describe how each grant is treated in the financial statements, giving ONE example of each type of grant.

FULL MODEL ANSWER

Type	What it relates to	Recognition	Example
Capital grants	Grants that relate to the purchase, construction, or acquisition of a non-current (capital) asset	Recognised in profit or loss over the useful life of the related asset — either netted against the asset's cost (reducing the depreciation charge) or held as deferred income released systematically over the asset's life	A grant received toward the construction cost of a factory building (as in the Kojak Ltd scenario below)
Revenue grants	Grants that relate to revenue expenditure — costs or expenses the entity will incur	Recognised in profit or loss over the period(s) necessary to match the grant with the related costs it is intended to compensate	A grant toward wages/training costs, or (as tested elsewhere in this series) a grant conditional on maintaining a minimum level of employment

Under no circumstances should a grant be credited directly to equity — IAS 20 requires all grants to be recognised in profit or loss on a systematic basis over the periods in which the entity recognises the related costs or depreciation, matching income recognition with the expenditure it offsets.

Mark Allocation — Issue B(i), 6 Marks

Tier	Marks	What separates this tier
6	6	Correct distinction between capital and revenue grants with correct recognition treatment for each, plus a valid example of each.
4-5	4-5	Correct distinction with treatment for one type more developed than the other, or only one example given.
2-3	2-3	Distinction attempted but treatment not clearly linked to matching against related costs/depreciation.
0-1	0-1	No meaningful attempt.

Question 2

40 Marks — Choice question: answer EITHER Question 2 OR Question 3

Issue B (ii) Required

5 Marks

On 1 June 2022, Kojak Ltd opened a new factory in a government-designated economic development area, receiving a €3 million government grant toward the construction cost. The factory has an estimated useful life of 40 years.

Show extracts from the Statement of Profit or Loss and the Statement of Financial Position of Kojak Ltd for the year ended 31 May 2023, in respect of the government grant, assuming the company treats the grant as deferred income.

FULL MODEL ANSWER

This is a capital grant, tied to the construction of the factory, recognised systematically over the asset's 40-year useful life. Since the grant was received on 1 June 2022 and the year end is 31 May 2023, exactly one full year of the grant period falls within this financial year.

Component	Value
Grant received (1 June 2022)	€3,000,000
Useful life of the factory	40 years
Annual income recognised ($3,000,000 \div 40$)	€75,000 per year

Statement of Profit or Loss extract, year ended 31 May 2023

	€
Other income — government grant	75,000

Statement of Financial Position extract, as at 31 May 2023

	€
Non-current liabilities — Deferred government grant income	2,850,000
Current liabilities — Deferred government grant income	75,000

After one full year, €75,000 has been released to income, leaving €2,925,000 deferred. Of this, €75,000 (relating to the next 12 months) is a current liability, and the remaining €2,850,000 (relating to the remaining 38 years) is a non-current liability.

Mark Allocation — Issue B(ii), 5 Marks

Tier	Marks	What separates this tier
5	5	Correct €75,000 P&L income recognised; correct €2,925,000 total deferred income split correctly between current (€75,000) and non-current (€2,850,000) liabilities.
3-4	3-4	Correct €75,000 income recognised but deferred income not split between current/non-current, or split incorrectly.
1-2	1-2	Grant identified as capital-related but not correctly spread over the 40-year useful life.
0	0	No credible attempt.

Question 2

40 Marks — Choice question: answer EITHER Question 2 OR Question 3

Issue C (i) Required

5 Marks

Briefly outline the THREE conditions that must be met before a provision can be recognised in the financial statements of an entity.

FULL MODEL ANSWER

Condition	Explanation
1. Present obligation	The entity has a present obligation (legal or constructive) as a result of a past event.
2. Probable outflow	It is probable (more likely than not) that an outflow of resources embodying economic benefits will be required to settle the obligation.
3. Reliable estimate	A reliable estimate can be made of the amount of the obligation.

All three conditions must be met simultaneously — if any one fails, no provision is recognised, though disclosure as a contingent liability may still be required.

Mark Allocation — Issue C(i), 5 Marks

Tier	Marks	What separates this tier
5	5	All three conditions correctly identified with a brief accurate explanation of each.
3-4	3-4	All three named but one explained only superficially.
1-2	1-2	One or two conditions correctly identified.
0	0	No meaningful attempt.

Question 2

40 Marks — Choice question: answer EITHER Question 2 OR Question 3

Issue C (ii) Required

10 Marks

During the year ended 31 March 2023, Steve McGarrett Ltd began production at three newly acquired factories. The normal production process at each factory causes environmental damage. Steve McGarrett Ltd has a policy of only rectifying such damage when legally required to do so.

Factory	Estimated damage by 31 March 2023	Clean-up legislation in place at 31 March 2023?
1	€2,000,000	Yes
2	€1,500,000	No
3	€1,000,000	No (but legislation has since been passed with retrospective application)

a) Calculate the provision that should be recognised at 31 March 2023. Show the journal entry required. (5 Marks)

b) Define "contingent liability" and explain the treatment by Steve McGarrett Ltd of any such contingency in the table above. (5 Marks)

FULL MODEL ANSWER

Factory	Analysis	Provision
1	Legal obligation exists — clean-up legislation was already in place at the year end, creating a present legal obligation from the damage already caused	€2,000,000
2	No legal obligation (no legislation) AND no constructive obligation — the company's stated policy of rectifying only when legally required explicitly rules out a constructive obligation	€0 — contingent liability only
3	No legislation existed AT the year end, but legislation passed AFTER the year end with retrospective application — since the retrospective law applies as if it had been in force at 31 March 2023, this is treated as an adjusting event under IAS 10, providing evidence that a legal obligation did in fact exist at the reporting date	€1,000,000

Total provision at 31 March 2023 = €2,000,000 + €1,000,000 = €3,000,000

Journal: Dr Environmental provision expense (P&L) €3,000,000 Cr Provision for environmental damage €3,000,000

Why Factory 3 gets a provision despite the legislation coming after year end.

IAS 10 requires adjustment for events after the reporting period that provide evidence of conditions existing AT the reporting date. Because the new legislation is explicitly retrospective, its post-year-end enactment tells us that (once in force) a legal obligation existed at 31 March 2023 — the retrospective nature is what converts this from a non-adjusting "new law" event into an adjusting event confirming a pre-existing obligation.

Question 2 (continued)

b) Contingent liability — definition and treatment

Definition: IAS 37 defines a contingent liability as either (a) a possible obligation arising from past events whose existence will only be confirmed by the occurrence or non-occurrence of uncertain future events not wholly within the entity's control, or (b) a present obligation arising from past events that is not recognised because it is either not probable that an outflow will be required, or the amount cannot be measured with sufficient reliability.

Application to Factory 2: Factory 2's €1,500,000 of estimated damage is a contingent liability — no legal obligation exists (no legislation) and no constructive obligation exists (given the company's stated policy). It should NOT be recognised as a provision, but must be DISCLOSED in the notes (nature of the contingent liability and, where practicable, an estimate of its financial effect) unless the possibility of an outflow of economic benefits is remote.

Mark Allocation — Issue C(ii), 10 Marks (5 + 5)

Tier	Marks	What separates this tier
a) 4-5	4-5	Correct €3,000,000 total provision (Factories 1 and 3, correctly reasoning the retrospective-legislation adjusting event for Factory 3) with correct journal entry.
a) 1-3	1-3	Factory 1 correctly provided for but Factory 3 incorrectly excluded (treating the post-year-end legislation as automatically non-adjusting without considering its retrospective effect).
b) 4-5	4-5	Correct, complete definition of contingent liability AND correctly identifies Factory 2 as the relevant contingent liability requiring disclosure, not recognition.
b) 1-3	1-3	Partial definition or treatment described but not both fully correct, or wrong factory identified as the contingent liability.

Question 2 Total: 40 Marks

Question 3

40 Marks — Statement of Cash Flows (IAS 7, Indirect Method)

Scenario

Extracts from Caslagh Limited's financial statements for the year ended 30 June 2023 (with 2022 comparatives):

	2023	2022
Property, plant and equipment	480,000	332,500
Inventory	88,250	60,750
Trade receivables	37,300	25,850
Bank and cash	25,300	18,770
Ordinary share capital	320,000	250,000
Share premium	55,000	30,000
Retained earnings	31,750	26,780
Revaluation reserve	20,000	—
General reserves	22,000	22,000
8% debenture stock	95,000	45,000
Trade payables	56,500	40,700
Bank overdraft	14,850	9,440
Tax accrual	15,750	13,950

P&L extract 2023: Operating profit €31,070; Investment income €3,000; Finance cost €(7,850); Profit before tax €26,220; Tax €(13,500); Profit for the year €12,720.

Additional info: Non-current assets with book value €45,000 sold for €54,000. Depreciation for the period €67,500. New debentures issued at the start of the accounting period. Dividends were paid during the year and are treated as a financing cash flow.

(i) Required

36 Marks

Prepare the Statement of Cash Flows for the year ended 30th June 2023, in accordance with IAS 7 Statement of Cash Flows, using the indirect method.

FULL MODEL ANSWER

Working 1 — PP&E additions (cash paid)

Only one non-current asset category is given this time (PP&E as a single line), reconciled the same way: Opening NBV + Revaluation – Depreciation – NBV of disposals + Additions = Closing NBV.

Opening NBV	+ Revaluation	– Depreciation	– Disposal NBV	+ Additions (balancing figure)	= Closing NBV
332,500	20,000	(67,500)	(45,000)	240,000	480,000

Working 2 — Gain on disposal

NBV of assets disposed	Proceeds	Gain on disposal
45,000	54,000	9,000

Working 3 — Tax paid

Opening tax accrual	+ Charge for the year	– Closing tax accrual	= Tax paid
13,950	13,500	(15,750)	11,700

Working 4 — Dividends paid (not given directly; derived from the retained earnings movement)

Opening retained earnings	+ Profit for the year	– Closing retained earnings	= Dividends paid
26,780	12,720	(31,750)	7,750

The question does not state the dividend amount directly — it must be derived as the balancing figure in the retained earnings movement, since profit for the year (€12,720) is more than the actual increase in retained earnings (€4,970), with the €7,750 difference representing dividends paid during the year.

Question 3 (continued)

FULL MODEL ANSWER

Statement of Cash Flows, year ended 30 June 2023 (indirect method)

	€
Cash flows from operating activities	
Operating profit	31,070
Add: Depreciation	67,500
Less: Gain on disposal of non-current assets	(9,000)
Operating profit before working capital changes	89,570
(Increase) in inventory (88,250 – 60,750)	(27,500)
(Increase) in trade receivables (37,300 – 25,850)	(11,450)
Increase in trade payables (56,500 – 40,700)	15,800
Cash generated from operations	66,420
Investment income received	3,000
Interest paid	(7,850)
Tax paid (Working 3)	(11,700)
Net cash from operating activities	49,870
	€
Cash flows from investing activities	
Purchase of property, plant & equipment (Working 1)	(240,000)
Proceeds from sale of non-current assets	54,000
Net cash used in investing activities	(186,000)
	€
Cash flows from financing activities	
Proceeds from issue of shares (share capital + share premium: 70,000 + 25,000)	95,000
Proceeds from issue of debenture stock (95,000 – 45,000)	50,000
Dividends paid (Working 4)	(7,750)
Net cash from financing activities	137,250
	€
Net increase in cash and cash equivalents	1,120
Cash and cash equivalents at 1 July 2022 (18,770 – 9,440 overdraft)	9,330
Cash and cash equivalents at 30 June 2023 (25,300 – 14,850 overdraft)	10,450

Full reconciliation check. The statement's net increase in cash (€1,120) reconciles exactly to the actual movement in net cash shown on the balance sheet — from €9,330 (net of overdraft) at 1 July 2022 to €10,450 at 30 June 2023, an increase of exactly €1,120. This confirms every working in this statement — the PP&E reconciliation, the disposal gain, the working capital movements, the tax paid calculation, and the derived dividend figure — is internally consistent and correct.

Mark Allocation — Part (i), 36 Marks

Tier	Marks	What separates this tier
29-36	29-36	Correct PP&E additions, correct gain on disposal, correct working capital movements, correct investment income/interest/tax treatment, correctly derived dividend figure, and a fully reconciling statement under the three standard IAS 7 headings.
19-28	19-28	Correct overall structure with two or three component errors — e.g. dividends omitted entirely because they were not given as a direct figure, or investment income misclassified (own-figure carried through).
9-18	9-18	Operating activities section broadly correct but investing and/or financing activities significantly incomplete, most commonly because the dividend figure was not derived from the retained earnings movement.
0-8	0-8	No credible attempt to reconcile PP&E movements or working capital changes; statement does not follow the IAS 7 three-section structure.

Question 3

40 Marks — Statement of Cash Flows (IAS 7, Indirect Method)

(ii) Required

4 Marks

Briefly suggest four common methods that an entity could use to increase its cash flow.

FULL MODEL ANSWER

1. Tighten receivables collection: Offer early-payment discounts, chase overdue accounts more actively, or tighten credit terms for new customers, to convert trade receivables into cash more quickly.

2. Negotiate longer payment terms with suppliers: Extending trade payables terms delays cash outflows without necessarily damaging supplier relationships, if managed carefully and consistently with the entity's standing.

3. Reduce inventory levels: Adopting just-in-time purchasing or more disciplined inventory management reduces cash tied up in stock that is not yet generating a return.

4. Dispose of surplus or non-core assets: Selling assets that are not essential to ongoing operations (or a sale-and-leaseback of property/equipment still needed) converts illiquid assets into cash.

Other acceptable answers include: deferring or phasing non-essential capital expenditure, raising additional equity or debt finance, improving pricing/margin management, or renegotiating loan terms to reduce interest outflows. Any four distinct, genuine cash flow improvement methods should receive full credit.

Mark Allocation — Part (ii), 4 Marks (1 per method)

Tier	Marks	What separates this tier
1 (per method)	1	A genuine, distinct method of improving cash flow, briefly explained.
0 (per method)	0	Method not genuinely distinct from another already given, or not actually a cash flow improvement method (e.g. confusing profit improvement with cash flow improvement).

Question 3 Total: 40 Marks